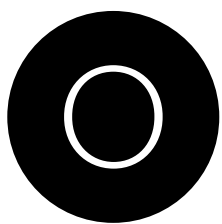


# EMBRACE SPECIALISED FUNDS

AS SPECIALISED INVESTMENT FUNDS CATCH ON WITH INVESTORS SEEKING DIFFERENTIATED AND SOPHISTICATED PRODUCTS, SOME WEALTH MANAGERS ADVISE CAUTION

BY NACHIKET KELKAR



**OVER THE PAST** few years, mutual fund investments have surged as more people have entered the stock market. But investors seeking more sophisticated products typically had only portfolio management services (PMS), or alternative investment funds (AIFs) as options. The high entry barriers—₹50 lakh for PMS and ₹1 crore for AIFs—meant they were largely limited to high-net-worth individuals (HNIs).

Things changed when the Secu-

rities and Exchange Board of India (Sebi) introduced specialised investment funds (SIF) effective April 1, 2025. The idea was to bridge the gap between mutual funds and PMS/AIFs by offering investors greater portfolio flexibility.

In less than a year since the first SIF was launched, the category has seen good traction, with assets under management rising each passing month, surprising even the most optimistic fund managers.

